Human Resource Management - Set 2

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. Which of the following is a nature of HRP?
A. Continuous, futuristic and both quantitative and qualitative
B. One-time activity that is done once and is based only on the past
C. Only about numbers of employees without any thought about skills
D. Completely independent of the organisation's own overall planning

2. Integrative bargaining is
A. government dictation of the terms to both employers and workers
B. cooperative, win-win problem-solving based on shared interests
C. avoiding negotiation completely and leaving the matter to the court
D. win-lose bargaining in which one side gains what the other loses

3. Which of the following is NOT listed among the reasons for the importance of HRM?
A. Drives productivity
B. Builds competitive advantage
C. Ensures compliance
D. Reducing the number of products sold

4. The first step in the HRP process is
A. preparing the action plan for recruiting and training staff
B. analysing organisational objectives
C. forecasting the demand for human resources from past experience
D. monitoring and controlling the results of the manpower plan

5. Basic salary is an example of
A. variable pay
B. guaranteed pay
C. bonus
D. equity-based compensation

6. When the employer closes the place of work to pressure workers to accept his terms, it is a
A. retrenchment
B. strike
C. boycott
D. lockout

7. Which is NOT a feature of performance appraisal?
A. Random and unplanned process
B. Periodic and planned
C. Objective assessment
D. Systematic process

8. Placing employees along a set distribution scale such as outstanding, above average, average, below average, poor is
A. paired comparison
B. straight ranking
C. essay evaluation
D. forced distribution

9. In the Model Grievance Procedure, the officer designated by management must respond within
A. 48 hours
B. 3 months
C. 30 days

D. 7 days

10. Job Instruction Training (JIT) follows the steps
A. hire, fire, rehire, retire
B. plan, sell, collect, audit
C. read, test, rest, repeat
D. prepare, present, try-out, follow-up

11. Which of the following is a technique of forecasting demand for human resources?
A. Markov analysis
B. Skill inventory
C. Delphi technique
D. Succession chart

12. Employee welfare means facilities provided by the employer
A. instead of wages so that no money is paid to the employees
B. over and above wages for workers' well-being
C. only to the managers and not to the workers of the factory
D. only by the government and never by the employer in a firm

13. The relationship between objectives and functions of HRM is that
A. objectives and functions are exactly the same thing written under two different names
B. functions are always decided first and the objectives are fixed after them
C. objectives replace the functions once the HR department has been set up
D. objectives state what HR must achieve; functions are the activities through which it achieves them

14. Under the Industrial Disputes Act, 1947 an industrial dispute is a difference between
A. employers and workmen, or among workers, connected with employment or terms of work
B. customers and sellers of the goods in the market of the firm
C. two competing firms in the same industry over the market share
D. banks and borrowers over the repayment of loans and interest

15. The stage of career in which interests and options are identified is
A. decline
B. establishment
C. late career
D. exploration

16. Which is an objective of performance appraisal?
A. Compensation and promotion decisions
B. Opening new branches
C. Reducing office rent
D. Increasing advertisement spend

17. A good selection test should have
A. objectivity, validity, reliability and standardisation
B. bias in the scoring and ambiguity in the questions of the test
C. high cost of administration and no link with the job requirements
D. secrecy of the results and delay in the declaration of the scores

18. Which is a principle of grievance handling?
A. Confidentiality
B. Delay
C. Favouritism
D. Secrecy from the employee

19. The correct order of the six-step training cycle is
A. Goals, Evaluate, Assess and Execute without a proper needs analysis
B. Execute, Design, Goals and TNA before assessing the objectives
C. Evaluate, Design, Execute and TNA in the reverse order of the cycle
D. Assess objectives, TNA, Goals, Design, Execute, Evaluate

20. Personnel management (1920s-1980s) mainly focused on
A. administrative work such as hiring, payroll, discipline and record keeping
B. treating employees as valuable assets who must be developed and motivated
C. strategic partnership with top management supported by HR analytics and AI
D. global mobility of expatriates and cross-border compliance in many countries

21. Appraisal by Results is also known as
A. Behaviourally Anchored Rating Scale (BARS)
B. Assessment centre method
C. 360-degree appraisal
D. Management by Objectives (MBO)

22. Which is the FIRST step in developing a succession plan?
A. Provide feedback to employees
B. Measure the effectiveness of the process
C. Identify which positions are included in the plan
D. Link the plan with HR systems

23. Wages are generally higher in a stable economy than in a depressed economy because
A. the cost of living falls sharply during a depression of the economy
B. taxes on employers are lower in a depressed economy
C. workers demand lower wages in a stable economy
D. supply of labour increases in a depressed economy, lowering wage rates

24. Which is a party to industrial relations?
A. Trade union
B. Customer
C. Competitor
D. Supplier

25. A Wage Board in India is typically a
A. court that decides disputes between workers and employers
B. committee of shareholders that fixes the salary of directors
C. tripartite body of employer, employee and independent members
D. body of government officials appointed to inspect factories

26. In 360-degree appraisal, feedback comes from
A. the union leader only who represents the workers in the firm
B. the employee alone who rates his own performance every year
C. superiors, peers, subordinates and sometimes customers
D. the shareholders only who own the shares of the company

27. A short-term arrangement that temporarily assigns a replacement in sudden situations is
A. emergency / interim succession planning
B. career pathing of the employees across several positions
C. departure-defined planning started when a key employee leaves
D. strategic leadership development extending over several years

28. A single-judge body dealing with dismissal, discharge and standing orders is the
A. Works committee
B. National Tribunal
C. Wage Board
D. Labour Court

29. Which step comes before 'selecting the method of evaluation'?
A. Analysing and preparing job description
B. Classifying jobs
C. Converting points into money
D. Implementing wage agreement

30. Which skill is essential for an HR manager?
A. Only legal drafting skill

B. Communication and interpersonal skills
C. Only accounting skill
D. Only machine operating skill

31. In India, minimum wages are legally fixed under the
A. Indian Contract Act
B. Companies Act, 2013
C. Minimum Wages Act, 1948
D. Consumer Protection Act

32. Which is a common challenge in succession planning?
A. Too many resources
B. No change at all
C. Lack of employee buy-in
D. Too much information

33. In career management, the individual is mainly responsible for
A. deciding the organisation's manpower plan for the next year
B. self-assessment and setting career goals
C. approving the training budget of the whole department
D. fixing the pay structure for all jobs in the company

34. In the managerial task dimension, personnel management is described as
A. monitoring, whereas HRM is nurturing
B. nurturing, whereas HRM is monitoring
C. transformational, whereas HRM is transactional
D. strategic, whereas HRM is clerical

35. Wage determination is the process of
A. training the employees to improve their skills on the job
B. settling the disputes between the employees and the management
C. fixing the wage rates for different jobs
D. selecting candidates for various jobs in the organisation

36. Which is an effect of digital transformation on HR?
A. Elimination of all HR work because computers decide everything alone
B. End of all employee records because data is no longer stored anywhere
C. AI and automation support recruitment and screening
D. Return to paper registers and manual files for every HR activity again

37. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the
A. results level
B. behaviour level
C. learning level
D. reaction level

38. A system where individuals receive an annual bonus based on overall profitability of the company is
A. gainsharing
B. standard hour plan
C. piece rate
D. profit sharing

39. The four categories of HRM objectives mentioned in the Important Questions are
A. organisational, functional, societal and personal
B. internal, external, formal and informal
C. short-term, medium-term, long-term and annual
D. financial, marketing, production and legal

40. In SMART goals, the letter 'R' stands for
A. Realistic and Rigid
B. Ranked
C. Result-oriented

D. Rewarding

41. The need for training arises from
A. changes in technology, job requirements and performance gaps
B. the increase in the dividend paid to the shareholders
C. the shortage of finance for expansion of the business
D. fall in the demand for the company's products in the market

42. A key benefit of succession planning is
A. leadership continuity when key managers leave
B. removal of the need for any training of managers in the future
C. avoiding any link with the employee's performance
D. lower promotion opportunities and a rise in dismissals of managers

43. Collective bargaining is a process in which
A. management and employee representatives meet and negotiate terms and conditions of employment
B. each employee separately negotiates his own salary with the manager
C. an outside court decides the terms of employment after hearing both sides
D. the government fixes the wages and working conditions of all employees

44. C-I-P-P stands for
A. Control, Inspect, Plan, Perform
B. Context, Input, Process, Product
C. Cost, Income, Profit, Price
D. Call, Invite, Pay, Place

45. In Kirkpatrick's model, trainee satisfaction with the programme is measured at the
A. reaction level
B. learning level
C. behaviour level
D. results level

46. The simplest method of job evaluation is
A. factor comparison
B. classification
C. the ranking method
D. point method

47. A demerit of off-the-job training is that it
A. may be costly and lacks real work conditions
B. it can be given only to employees who are about to retire
C. it does not allow the trainee to learn from the instructor
D. the trainee learns while doing the actual work with the machines

48. Which statement is correct?
A. Both recruitment and selection reject the candidates in the same way
B. Recruitment widens the pool; selection reduces it
C. Selection comes before recruitment in the process of hiring staff
D. Recruitment is a negative process because it rejects the candidates

49. Job analysis is best described as the systematic process of
A. training employees to improve their skills for the present job
B. selecting candidates through tests and interviews for a vacancy
C. paying incentives and bonus to employees for better performance
D. collecting and studying information about a job's content, context and requirements

50. An interview in which the interviewer deliberately puts the candidate under pressure is a
A. panel interview
B. stress interview
C. telephonic interview
D. structured interview

Answer key - Set 2

1. **A**	11. **C**	21. **D**	31. **C**	41. **A**
2. **B**	12. **B**	22. **C**	32. **C**	42. **A**
3. **D**	13. **D**	23. **D**	33. **B**	43. **A**
4. **B**	14. **A**	24. **A**	34. **A**	44. **B**
5. **B**	15. **D**	25. **C**	35. **C**	45. **A**
6. **D**	16. **A**	26. **C**	36. **C**	46. **C**
7. **A**	17. **A**	27. **A**	37. **B**	47. **A**
8. **D**	18. **A**	28. **D**	38. **D**	48. **B**
9. **A**	19. **D**	29. **A**	39. **A**	49. **D**
10. **D**	20. **A**	30. **B**	40. **C**	50. **B**

Answers with explanations

1. Which of the following is a nature of HRP?

Answer: A. Continuous, futuristic and both quantitative and qualitative

Why correct: HRP is continuous and futuristic.

B is wrong: HRP is not one-time.

C is wrong: It covers numbers and skills.

D is wrong: It is a sub-system of organisational planning.

2. Integrative bargaining is

Answer: B. cooperative, win-win problem-solving based on shared interests

Why correct: Integrative bargaining creates shared gains.

A is wrong: It is voluntary.

C is wrong: It involves negotiation.

D is wrong: That is distributive.

3. Which of the following is NOT listed among the reasons for the importance of HRM?

Answer: D. Reducing the number of products sold

Why correct: The listed reasons are productivity, innovation, compliance, advantage, culture and change.

A is wrong: Productivity is a listed importance.

B is wrong: Competitive advantage is a listed importance.

C is wrong: Compliance is a listed importance.

4. The first step in the HRP process is

Answer: B. analysing organisational objectives

Why correct: HR plans start from organisational objectives.

A is wrong: Action plan is step 5.

C is wrong: Demand forecasting is step 2.

D is wrong: Monitoring is the last step.

5. Basic salary is an example of

Answer: B. guaranteed pay

Why correct: Basic salary is fixed and guaranteed.

A is wrong: Variable pay changes with results.

C is wrong: A bonus is variable.

D is wrong: Equity pay uses shares.

6. When the employer closes the place of work to pressure workers to accept his terms, it is a

Answer: D. lockout

Why correct: Lockout: employer shuts the workplace.

A is wrong: Retrenchment is discharge.

B is wrong: Strike is by workers.

C is wrong: Boycott is refusal to deal.

7. Which is NOT a feature of performance appraisal?

Answer: A. Random and unplanned process

Why correct: Appraisal is planned and systematic, never random.

B is wrong: It is periodic and planned.

C is wrong: It should be objective.

D is wrong: It is systematic.

8. Placing employees along a set distribution scale such as outstanding, above average, average, below average, poor is

Answer: D. forced distribution

Why correct: Forcing employees into set categories is forced distribution.

A is wrong: Paired comparison compares pairs.

B is wrong: Straight ranking orders them.

C is wrong: Essay evaluation is descriptive.

9. In the Model Grievance Procedure, the officer designated by management must respond within

Answer: A. 48 hours

Why correct: The designated officer must reply within 48 hours.

B is wrong: 3 months is too long.

C is wrong: 30 days is too long for step one.

D is wrong: 7 days is the committee's time.

10. Job Instruction Training (JIT) follows the steps

Answer: D. prepare, present, try-out, follow-up

Why correct: JIT has four steps.

A is wrong: Not JIT.

B is wrong: Not JIT.

C is wrong: Not JIT.

11. Which of the following is a technique of forecasting demand for human resources?

Answer: C. Delphi technique

Why correct: Delphi uses expert opinions to forecast future HR demand.

A is wrong: Markov analysis tracks movement of people (supply).

B is wrong: Skill inventory lists existing skills (supply).

D is wrong: Succession chart plans who replaces whom (supply).

12. Employee welfare means facilities provided by the employer

Answer: B. over and above wages for workers' well-being

Why correct: Welfare supplements wages.

A is wrong: Wages are separate.

C is wrong: It is for all workers.

D is wrong: Employers also provide it.

13. The relationship between objectives and functions of HRM is that

Answer: D. objectives state what HR must achieve; functions are the activities through which it achieves them

Why correct: Functions are the means; objectives are the ends.

A is wrong: They are related but not identical.

B is wrong: Objectives guide the functions.

C is wrong: Objectives do not replace functions.

14. Under the Industrial Disputes Act, 1947 an industrial dispute is a difference between

Answer: A. employers and workmen, or among workers, connected with employment or terms of work

Why correct: That is the Act's definition.

B is wrong: Not a dispute under the Act.

C is wrong: Not a dispute under the Act.

D is wrong: Not a dispute under the Act.

15. The stage of career in which interests and options are identified is

Answer: D. exploration

Why correct: Exploration = identifying interests.

A is wrong: Decline = reduced role.

B is wrong: Establishment = entry and early growth.

C is wrong: Late career = mentoring and retirement preparation.

16. Which is an objective of performance appraisal?

Answer: A. Compensation and promotion decisions

Why correct: Appraisal results feed pay and promotion decisions.

B is wrong: Opening branches is unrelated.

C is wrong: Office rent is unrelated.

D is wrong: Advertising spend is unrelated.

17. A good selection test should have

Answer: A. objectivity, validity, reliability and standardisation

Why correct: These are the qualities of a good test.

B is wrong: Not a quality.

C is wrong: Cost is not a quality.

D is wrong: Not a quality.

18. Which is a principle of grievance handling?

Answer: A. Confidentiality

Why correct: Confidentiality is listed.

B is wrong: Promptness is required, not delay.

C is wrong: Fairness is required.

D is wrong: The employee must be informed.

19. The correct order of the six-step training cycle is

Answer: D. Assess objectives, TNA, Goals, Design, Execute, Evaluate

Why correct: A-T-G-D-E-E.

A is wrong: Assessment comes first.

B is wrong: Execution comes after design.

C is wrong: Evaluation comes last.

20. Personnel management (1920s-1980s) mainly focused on

Answer: A. administrative work such as hiring, payroll, discipline and record keeping

Why correct: It was clerical and administrative.

B is wrong: That is HRM.

C is wrong: That is strategic / digital HR.

D is wrong: That is the globalised stage.

21. Appraisal by Results is also known as

Answer: D. Management by Objectives (MBO)

Why correct: Appraisal by results is Management by Objectives (MBO).

A is wrong: BARS rates behaviour.

B is wrong: Assessment centre uses simulations.

C is wrong: 360-degree uses multiple raters.

22. Which is the FIRST step in developing a succession plan?

Answer: C. Identify which positions are included in the plan

Why correct: A plan starts by deciding which positions it will cover.

A is wrong: Feedback comes near the end.

B is wrong: Measuring effectiveness is the last step.

D is wrong: Linking with HR systems is a later step.

23. Wages are generally higher in a stable economy than in a depressed economy because

Answer: D. supply of labour increases in a depressed economy, lowering wage rates

Why correct: In a depression more people seek jobs, so wages fall.

A is wrong: Cost of living does not fall sharply.

B is wrong: Employer taxes are not lower.

C is wrong: Workers do not ask for less in good times.

24. Which is a party to industrial relations?

Answer: A. Trade union

Why correct: A trade union represents employees in IR.

B is wrong: Customer is a market party.

C is wrong: Competitor is a market party.

D is wrong: Supplier is a market party.

25. A Wage Board in India is typically a

Answer: C. tripartite body of employer, employee and independent members

Why correct: A Wage Board is tripartite: employers, employees and independent members.

A is wrong: Deciding disputes is a tribunal's job.

B is wrong: Shareholders do not form it.

D is wrong: Inspecting factories is an inspector's job.

26. In 360-degree appraisal, feedback comes from

Answer: C. superiors, peers, subordinates and sometimes customers

Why correct: Multiple raters are used.

A is wrong: A union leader is not the rater.

B is wrong: Self-rating alone is not 360.

D is wrong: Shareholders do not rate.

27. A short-term arrangement that temporarily assigns a replacement in sudden situations is

Answer: A. emergency / interim succession planning

Why correct: Emergency / interim succession is a short-term stop-gap for sudden loss.

B is wrong: Career pathing is long-term movement.

C is wrong: Departure-defined is begun on a known exit.

D is wrong: Strategic development extends over years.

28. A single-judge body dealing with dismissal, discharge and standing orders is the

Answer: D. Labour Court

Why correct: Labour Court handles these matters.

A is wrong: Works committee is preventive.

B is wrong: National Tribunal handles national disputes.

C is wrong: Wage Board deals with wages.

29. Which step comes before 'selecting the method of evaluation'?

Answer: A. Analysing and preparing job description

Why correct: The job description must be prepared before choosing the method.

B is wrong: Classifying jobs comes after the method.

C is wrong: Converting points to money is late.

D is wrong: Implementing the wage agreement is last.

30. Which skill is essential for an HR manager?

Answer: B. Communication and interpersonal skills

Why correct: HR work is dealing with people, so communication and interpersonal skills come first.

A is wrong: Legal drafting alone is too narrow for the HR role.

C is wrong: Accounting is useful but 'only accounting' is too narrow.

D is wrong: Operating machines is a technical skill, not an HR need.

31. In India, minimum wages are legally fixed under the

Answer: C. Minimum Wages Act, 1948

Why correct: Minimum wages are fixed under the Minimum Wages Act, 1948.

A is wrong: Contract Act is about contracts.

B is wrong: Companies Act is about companies.

D is wrong: Consumer Protection Act is about consumers.

32. Which is a common challenge in succession planning?

Answer: C. Lack of employee buy-in

Why correct: Employees must accept and support the plan; without buy-in it fails.

A is wrong: Resources are limited, not excessive.

B is wrong: Change is constant; resistance is the issue.

D is wrong: Too much information is not the usual problem; incomplete information is.

33. In career management, the individual is mainly responsible for

Answer: B. self-assessment and setting career goals

Why correct: The individual assesses himself and sets career goals.

A is wrong: Manpower plan is the organisation's task.

C is wrong: Training budget is management's task.

D is wrong: Pay structure is HR's task.

34. In the managerial task dimension, personnel management is described as

Answer: A. monitoring, whereas HRM is nurturing

Why correct: PM monitors; HRM nurtures.

B is wrong: That reverses the two.

C is wrong: PM is transactional; HRM transformational.

D is wrong: PM is clerical; HRM strategic.

35. Wage determination is the process of

Answer: C. fixing the wage rates for different jobs

Why correct: Wage determination fixes the wage rates for different jobs.

A is wrong: Training is development.

B is wrong: Settling disputes is industrial relations.

D is wrong: Selecting candidates is selection.

36. Which is an effect of digital transformation on HR?

Answer: C. AI and automation support recruitment and screening

Why correct: AI and cloud HRIS support HR decisions.

A is wrong: HR does not disappear.

B is wrong: Records go digital.

D is wrong: Paper use falls.

37. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the

Answer: B. behaviour level

Why correct: Applying learning on the job is behaviour.

A is wrong: Results is organisational impact.

C is wrong: Learning is knowledge gained.

D is wrong: Reaction is satisfaction.

38. A system where individuals receive an annual bonus based on overall profitability of the company is

Answer: D. profit sharing

Why correct: Profit sharing pays from a company profit pool.

A is wrong: Gainsharing links to productivity.

B is wrong: Standard hour is time based.

C is wrong: Piece rate is per unit.

39. The four categories of HRM objectives mentioned in the Important Questions are

Answer: A. organisational, functional, societal and personal

Why correct: The Important Questions list the HRM objectives under four headings: organisational, functional, societal and personal.

B is wrong: Internal/external and formal/informal describe environments and organisations, not objectives.

C is wrong: Time horizons describe plans, not HRM objectives.

D is wrong: Finance, marketing, production and legal are business functions, not HRM objective types.

40. In SMART goals, the letter 'R' stands for

Answer: C. Result-oriented

Why correct: In SMART, R = Result-oriented.

A is wrong: Realistic is one reading, but the course slide says Result-oriented.

B is wrong: Ranked is not in SMART.

D is wrong: Rewarding is not in SMART.

41. The need for training arises from

Answer: A. changes in technology, job requirements and performance gaps

Why correct: Training is needed when technology or job requirements change or performance falls short.

B is wrong: Dividend increase is unrelated.

C is wrong: Finance shortage is a business issue.

D is wrong: Falling demand is a business issue.

42. A key benefit of succession planning is

Answer: A. leadership continuity when key managers leave

Why correct: Succession planning keeps leadership continuous when key managers leave.

B is wrong: It needs more training, not none.

C is wrong: It is linked to performance.

D is wrong: It aims to increase, not reduce, opportunities.

43. Collective bargaining is a process in which

Answer: A. management and employee representatives meet and negotiate terms and conditions of employment

Why correct: Collective bargaining is negotiation between management and employee representatives.

B is wrong: Individual talks are not collective.

C is wrong: A court deciding is adjudication.

D is wrong: Government fixing wages is not bargaining.

44. C-I-P-P stands for

Answer: B. Context, Input, Process, Product

Why correct: CIPP is Context-Input-Process-Product.

A is wrong: Not CIPP.

C is wrong: Not CIPP.

D is wrong: Not CIPP.

45. In Kirkpatrick's model, trainee satisfaction with the programme is measured at the

Answer: A. reaction level

Why correct: Trainee satisfaction is level 1, reaction.

B is wrong: Learning is knowledge.

C is wrong: Behaviour is on-job use.

D is wrong: Results is impact.

46. The simplest method of job evaluation is

Answer: C. the ranking method

Why correct: Ranking just orders jobs from highest to lowest, the simplest method.

A is wrong: Factor comparison is complex.

B is wrong: Classification needs predefined grades.

D is wrong: Point method needs scoring.

47. A demerit of off-the-job training is that it

Answer: A. may be costly and lacks real work conditions

Why correct: Off-the-job training can be costly and is away from real work conditions.

B is wrong: It is not only for retirees.

C is wrong: Instructors do teach.

D is wrong: Learning by doing is on-the-job.

48. Which statement is correct?

Answer: B. Recruitment widens the pool; selection reduces it

Why correct: Recruitment attracts; selection chooses.

A is wrong: Only selection rejects.

C is wrong: Recruitment comes first.

D is wrong: Recruitment is positive.

49. Job analysis is best described as the systematic process of

Answer: D. collecting and studying information about a job's content, context and requirements

Why correct: This is the deck's definition.

A is wrong: That is training.

B is wrong: That is selection.

C is wrong: That is compensation.

50. An interview in which the interviewer deliberately puts the candidate under pressure is a

Answer: B. stress interview

Why correct: A stress interview deliberately pressures the candidate to test composure.

A is wrong: A panel interview uses many interviewers.

C is wrong: A telephonic interview is done by phone.

D is wrong: A structured interview uses fixed questions.